

Chapter 6

Chinese Policy and Regional Relations



As Chinese policy continues to evolve with changes in the wider global environment as well as China's own domestic situation, we see a China that is more confident and in many situations more assertive of the positive impact it can have on global, but especially regional affairs. As an ancient civilization, modern nation, economic powerhouse, and key member of the United Nations, China views itself, and rightly so, as being on par with traditionally dominant Western powers. This, in conjunction with the increasingly fragmented state of overall global governance in general, means that China has naturally placed a great deal of emphasis on its own "backyard", making regional relations a priority in setting global policy.

Bordering fourteen countries and facing complex and often unresolved issues of sovereignty, economic competition, and security issues, these considerations must take priority, and while they are somewhat independent of the United States and other great power relations, they are always considered within the context of the broader global environment.

In cultivating and building relations with its regional neighbors, China's positive moves such as participation in ASEAN, construction of infrastructure in any number of countries, and desire to join the CPTPP are sometimes rendered moot because of territorial issues as in the South China Sea or poisoned by security concerns among neighbors that have long been allied with the United States. However, whether in terms of economic foreign policy or security related issues, China naturally looks first to its closest neighbors.

China has a number of historical issues and complex relations to deal with, from the Taiwan issue, to the South China Sea, and more. However, as China becomes more global and a clear leader in the Global South, its relations with other developing countries and regions has also become increasingly important. This is most keenly represented in China's relations with African nations and its work to foster development and good will in that region.

We begin this chapter with an article titled "In a Broken World, China-Japan-Korea Cooperation Is Asia's Backbone," highlighting the key role of East Asia as a

stabilizing force in today's world. As mentioned previously, China has long been a central part of Asian as well as global politics and trade. As the world transitions and searches for a new balance, China and its neighbors, who should not have to choose between China and the United States, could be a transformative force for both the region and the world.

Moving farther afield, the next article in this chapter, titled "China's Foreign Policy Is Misunderstood", opens by addressing China's relations with Russia, explaining how it is far from being an anti-Western alliance, but instead is China simply seeking to engage Russia and work on peaceful shared interests. The article also highlights the importance that China attaches to economic ties with the West, especially in terms of strategic autonomy for the EU, which in China's view acts as a truly multipolar counterweight that rejects the ideas of a bipolar G2 model.

The third article in this chapter focus on Asian regional issues and how China interacts with its closest neighbors. The first of these, titled "China-Philippines Cooperation Puts Relations with ASEAN on a Friendly Footing in 2023", focuses on what has been one of the most volatile relationships in Asia, especially in terms of marine, territory and fishing rights in contested parts of the South China Sea, the article points out the positive steps that, has already been made and further improved through communication and exchange.

The fourth article in this chapter provides insight into the unique historical and experiential relationship that China and Asian nations share. Asian countries are looking for another option that avoids the pitfalls of tensions between China and the US. The final article turns to Latin America, illustrating how China and Latin America can find common cause in pushing for openness, sustainability, reform, and a mutually beneficial relationship. However, far from an exclusive relationship, today China hopes to work with leading global powers through the G3, and structures such as the Belt and Road Initiative and others, to pool resource and ensure the world is stable and sustainable.

In a Broken World, China-Japan-Korea Cooperation Is Asia's Backbone¹

By blending economic advantage, technological skill, and cultural bonds, cooperation in East Asia could be elevated into a transformative inspiring force for the region.

Chinese Foreign Minister Wang Yi was in Tokyo recently for the 11th China-Japan-South Korea Trilateral Foreign Ministers' Meeting—the first since November 2023. During the visit, he also co-chaired the Sixth China-Japan High-Level Economic Dialogue with Japan's Foreign Minister Takeshi Iwaya.

The results were promising: 20 consensus points emerged from the economic dialogue, spanning trade to green development, alongside a commitment to hold a trilateral summit by the end of the year.

Just days earlier, speaking at the 20th Roundtable Japan in Tokyo, I witnessed the palpable momentum for cooperation in East Asia. Our three nations are bound by geography—neighbours who cannot escape one another. This proximity demands that we prioritise our geopolitical relationships, harnessing our collective strengths for mutual benefit.

Our economic interdependence is a cornerstone of regional stability. Last year, China-Japan trade hit US\$293 billion—Japan is China's second-largest trading partner, while China is Japan's top trading partner and import source, and the second-largest export market after the US. South Korea's exports to China, its biggest market, rose by 6.6 per cent last year. Investment flows thrive too: Japanese companies bolster China's manufacturing, while Chinese companies tap South Korea's tech sectors.

Yet, global trade faces headwinds. The return of US President Donald Trump signals renewed protectionism, with tariff threats and a US-led North American bloc looming.

Wang has stressed that talks on a China-Japan-South Korea free trade agreement should be resumed soon. Building on the Regional Comprehensive Economic Partnership (RCEP), which has boosted intraregional exports, such an agreement could leverage Japan's precision manufacturing, South Korea's semiconductor prowess and China's logistical might.

China is also pursuing frameworks such as the Digital Economy Partnership Agreement (DEPA)—initiated by New Zealand, Singapore, and Chile—and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). Japan, a CPTPP linchpin, could support China's accession, fostering shared prosperity.

Beyond trade, cooperation must address regional challenges. First, ageing populations pose a crisis. China has over 300 million people aged 60 or older—nearly a quarter of its population—straining healthcare and pensions. Japan, with decades of experience in elderly care and robotics, and South Korea, with its healthcare tech innovations, offer models worth emulating. Joint research could turn this demographic shift into an opportunity.

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Second, climate change demands collective action. Sharing the same ecosystem, we face challenges from air pollution to marine threats. Recent dialogue includes the September 20 consensus reached between China and Japan, committing to transparency over the management of radioactive water from the Fukushima nuclear plant.

Third, supply chain resilience is vital amid disruptions. China's ports, railways, and workforce complement Japan's manufacturing and South Korea's semiconductor expertise. Our proximity positions us to forge secure, efficient supply chains—imagine a “Made in East Asia” label rivalling global competitors.

Economic ties are only half the story. Our shared heritage—steeped in Confucianism and Buddhism—fosters mutual understanding. These traditions emphasise harmony and respect, easing communication at governmental and societal levels.

Among youth, this bond thrives: K-pop fans in China, anime lovers in South Korea, and Chinese students in Japanese universities fuel a dynamic cultural exchange. Tourism amplifies this connection—China's visa facilitation measures, paired with Japan's welcoming policies, have sparked a surge in visits.

This reflects the power of open borders and a shared culture. As these ties deepen, political barriers erode, paving the way for a united East Asia.

Regional integration is gaining momentum, and Asia must seize this opportunity to lead. As economic powerhouses, China, Japan, and South Korea—representing 1.6 billion people—can spearhead this effort alongside the Association of Southeast Asian Nations and other partners, gradually forging an “Asian Union” that could unite nearly half the world's population and economy by the middle of the century.

McKinsey predicts Asia will drive half of global consumption growth by 2030, a testament to our innovation potential: China supplies nearly half the world's top artificial intelligence (AI) talent, while Japan and South Korea stand among global leaders in patent filings.

DEPA's emphasis on digital trade complements the RCEP and CPTPP, bolstering regional resilience and cementing Asia's role as a global digital leader. This trio could pioneer joint initiatives such as coordinated AI research hubs linking Beijing, Tokyo, and Seoul or a unified e-commerce platform streamlining trade.

Our combined market size and innovation capacity rival any bloc's, offering a counterbalance to Western dominance and reducing reliance on external powers. Success here could inspire broader Asian unity, from standardised 5G networks to joint space exploration. By blending economic might, technological prowess, and cultural bonds, we can elevate cooperation into a transformative force, inspiring global integration.

The trilateral partnership of China, Japan, and South Korea is Asia's backbone, and in a fractured world, it is a lifeline. Trade, supply chains, and cultural bonds trump differences. The consensus points reached in Tokyo prove pragmatism works. Let's harness our strengths and shape an Asian century—now.

China's Foreign Policy Is Misunderstood²

Talk of a new Cold War ignores the fact that the world today is not bipolar, but multipolar, even more so because of common threats like climate change that all countries must face together.

Fifty four years ago, President Nixon made a landmark visit to Beijing that thawed tensions with China and reshaped the geopolitics of the Cold War. After the Sino-Soviet split of the 1960s had effectively turned a bipolar world order into one of “tripolarity”, Nixon’s trip and the rapprochement it symbolised substantially altered the balance of power in the triangle of China-Soviet-US relations.

The ‘strategic triangle’ was the dominant frame through which geopolitics was understood at the height of the Cold War. It largely fell dormant with the fall of the USSR, but has now been revived by some Western observers, with Putin’s Russia filling in for the Soviet Union.

This revival has been triggered by events in Ukraine and the joint statement between China and Russia on February 4th, which was seen by some as a mirrored version of Nixon’s 1972 China visit—one that brought Beijing and Moscow together against the US. It generated a wave of headlines in the US warning of “The New Axis of Autocracy”, an “alliance of autocracies”, and an incipient “New Superpower Struggle Among US, Russia, and China”.

But whatever the Cold War echoes in the current Ukraine crisis, applying this 20th-century triangular framing to our world today is a dangerous and misguided anachronism, for three major reasons.

First, it misreads China’s relations with Russia and intentions vis-à-vis the West. Ultimately, China wants to stabilise and improve ties with the US and its allies, not forge an anti-Western alliance with Russia.

The next major flaw with the triangular view is that our world is not tripolar, or indeed bipolar, but multipolar.

The February 4th statement was a commitment to work together on shared interests, not the declaration of a joint anti-Western front that some have made it out to be. China has no alliance with Russia and has never supported a Russian invasion of Ukraine, as was made clear again recently by Foreign Minister Wang Yi’s call to respect the sovereignty of any country and to find a solution to the Ukraine crisis through dialogue and consultation.

For all the budding talk of ties with Moscow, it is worth remembering that China’s economic interests with Russia are dwarfed by those it shares with the West. In 2021, bilateral trade between China and Russia jumped by 35 per cent to a value of \$147 billion. This was still less than a tenth of the combined trade with the US (\$657 billion) and EU (\$828.1 billion).

Russia may be a big fish militarily, but it is an economic minnow in long-term structural decline, with a GDP barely larger than that of the EU’s fifth-largest economy,

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Spain. It is not in China's interests to open up a long-term confrontation against the West with such a partner and there is no intention of doing so.

The EU's Quest for Strategic Autonomy

The next major flaw with the triangular view is that our world is not tripolar, or indeed bipolar, but multipolar. The Cold War framing leaves out important geopolitical players, not least the EU, which has major interests at stake in Ukraine and is pursuing an increasingly independent foreign policy.

True, the EU has traditionally punched below its weight strategically and the Ukraine crisis has temporarily reinvigorated the transatlantic alliance. But the EU no longer wishes to be hemmed to the US position and appears to be at the dawn of a new political era in which it will carve out its own global role.

There is a danger that framing the world as a strategic triangle of competing powers will become a self-fulfilling prophecy.

With Angela Merkel gone and Germany's new chancellor Olaf Scholz still finding his feet, Emmanuel Macron is set to be the EU's dominant voice for some time to come, provided he wins the upcoming presidential election in April as expected.

The French president is a strong proponent of 'strategic autonomy' for the EU and has made it clear the EU should not gang up on China with the US. In a call with President Xi Jinping on February 16th, the leaders pledged that China and the EU will work together on shared interests like trade, the delayed China-EU investment agreement (opposed by the US), and climate change.

This Is Not Another Cold War

The issue of climate brings us to the third and perhaps the most important reason Cold War framings are an unhelpful way to view power and security in the 21st century.

In an age of global threats that cannot be overcome by brute force or any country acting alone, to focus solely on 'power over' other countries is to neglect the more important dimension of 'power with' other countries to tackle our shared challenges. The need to consider power in both its competitive and cooperative forms should be clear as we continue to face a global pandemic and looming climate emergency.

There is a danger that framing the world as a strategic triangle of competing powers will become a self-fulfilling prophecy and lock us into a zero-sum view of our interests, when in fact the biggest threats we face come not from other states, but from a collective failure to cooperate on our shared challenges.

Fifty years ago, the leaders of China and America were able to put pragmatism over ideology to achieve a diplomatic breakthrough that reshaped the Cold War triangle and served the interests of both countries.

But reviving this outdated view of the world half a century later will only push China and Russia closer together, raising the risk of great-power conflict, and hampering our ability to work together on existential threats that go far beyond Ukraine.

China-Philippines Cooperation Puts Relations with ASEAN on a Friendly Footing in 2023³

Often at odds, this visit by President Marcos demonstrates how communication and discussion can resolve many issues and spark changes in bilateral as well as regional policy and relations.

Recent years have seen ups and downs in China's relations with Southeast Asia. Economic ties continue to grow, but there have also been periodic frictions due to territorial disputes in the South China Sea, COVID-19, and rising strategic competition between Beijing and Washington.

This year presents a chance for Beijing to put relations with the Association of Southeast Asian Nations (ASEAN) on a more steady footing. China is eager to shore up ties with its ASEAN neighbours to prevent them from being drawn too far into Washington's orbit, while the country's reopening paves the way to revive exchanges with the region.

Meanwhile, ASEAN members are prioritising growth and jobs as they face stiff economic challenges in the wake of the pandemic, increasing incentives to resolve differences and work closer with China.

The recent state visit to Beijing by Philippine President Ferdinand Marcos Jr is the latest sign of the positive momentum in China-ASEAN relations. Marcos left Beijing with an impressive haul of deliverables, including US\$22.8 billion in investment pledges, an agreement to allow Philippine fishermen to resume operations at their historic fishing grounds, and an offer by President Xi Jinping to reopen talks on joint oil and gas exploration.

Both sides have good reasons to pursue energy cooperation in the South China Sea and find ways to overcome the constitutional and sovereignty constraints that led to the breakdown of negotiations last year. Most importantly, working together to develop energy resources will help avoid conflict over disputed waters.

The Philippines is keen to tap new sources of fossil fuels; its reliance on energy imports makes it highly exposed to rising oil prices, while its main domestic gas supply, the Malampaya gas field, is nearing depletion.

For China, successful cooperation with the Philippines on developing energy in the South China Sea would not only help secure new sources of energy amid ongoing geopolitical uncertainty, but also provide a model for solving other disputes in the region such as with Brunei, Malaysia, and Vietnam.

Marcos' visit comes after a marked uptick in diplomatic engagement between China and ASEAN since the 20th party congress. At the end of October, Nguyen Phu Trong, General Secretary of the Communist Party of Vietnam, became the first foreign leader to visit China after the party congress, making his first overseas trip since suffering a stroke in 2019. Xi and Trong vowed to upgrade their "special bond" and signed 13 major agreements covering key aspects of bilateral relations.

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A month later, Laos President Thongloun Sisoulith also made a state visit to China. Both sides vowed to increase cooperation, including on further boosting connectivity between the Belt and Road and landlocked Laos, around a year after the China-Laos railway opened.

Away from Beijing, November saw a flurry of meetings between Chinese and ASEAN leaders at multilateral summits in Asia. Premier Li Keqiang met leaders of the 10-nation bloc at the ASEAN summit in Phnom Penh and between the G20 in Bali and APEC in Bangkok; Xi met the leaders of Indonesia, the Philippines, Singapore, and Thailand.

Economic cooperation is the core of China's appeal to Southeast Asian countries and an advantage over the US in efforts to woo the region. ASEAN has risen to become China's top trading partner since 2020, with two-way trade reaching US\$878 billion in 2021.

The Regional Comprehensive Economic Partnership (RCEP) trade deal, which entered into force at the start of 2022, will help to further integrate supply chains between China and Southeast Asia. In November, negotiations began to upgrade the China-ASEAN free-trade zone, bringing the prospect of further trade liberalisation.

Looking to the rest of this year, China's reopening will support efforts to improve relations with ASEAN. Entrepreneurs and officials will again be able to travel easily between the two regions, boosting trade, investment, and diplomatic initiatives such as negotiations on a code of conduct for the South China Sea.

ASEAN countries are well placed to benefit from the rebound of Chinese tourism as pent-up demand is unleashed. Goldman Sachs estimates that increased trade and tourism from China's reopening may lift the GDP of Thailand, Singapore, and Malaysia by 2.9 per cent, 1.2 per cent and 0.7 per cent respectively.

Marcos' visit to China shows there is the political will in Beijing and ASEAN capitals to settle disputes in the South China Sea and deepen economic cooperation. Joint oil and gas development could be an effective vehicle to achieve this, especially amid fluctuating energy prices and economic uncertainty. China would do well to seize this opportunity and explore similar initiatives with other ASEAN members.

More Face-to-Face Interaction Needed with Asian Countries Seeking a “Third Way” out of the US-China Rivalry⁴

Stuck between the world’s two most powerful nations, Asian countries tired of having to choose, are looking for another option that avoids the pitfalls of tensions between China and the US.

As great power rivalry intensifies in the wake of US House Speaker Nancy Pelosi’s visit to Taiwan, Asian countries that look to China for prosperity and the United States for security face an increasingly difficult task in navigating tensions between the two sides.

Perhaps no country better illustrates this than South Korea. China provides almost 30 per cent of South Korea’s imports of material parts and absorbs nearly a quarter of its exports—more than the US and Japan combined. At the same time, South Korea relies on the US security umbrella to counter the threat from North Korea and is home to around 30,000 US troops.

Seoul now faces tough choices that will affect its relations with the US and China. These include whether to deploy the US-made Terminal High Altitude Area Defence (THAAD) anti-missile system and whether to join US President Joe Biden’s Chip 4 alliance.

More Asian countries will be caught in this kind of bind as the rivalry between China and the US unfolds. But despite growing pressure at home and abroad, policymakers in Seoul and other Asian capitals oppose being forced into binary choices. They are striving for a third way that preserves a degree of neutrality and allows for continued cooperation with both powers.

This was the key takeaway from our recent visits to Seoul and Singapore, the Asia leg of a global engagement tour by the Center for China and Globalization that also included stops in Berlin, Brussels, New York, Paris, and Washington.

In Singapore and South Korea, we met scholars, business leaders and diplomats to take the temperature of local politics and share views on global issues. These visits also went some way towards reviving in-person interactions with Asian countries after a two-year hiatus.

Our discussions supported the view that economic self-interest will continue to provide an incentive for Asian countries to get along with China given its role in the regional economy.

However, facing increasingly negative sentiment overseas, China should not rely solely on its economic gravity to anchor relations with its Asian neighbours. It is also important to cultivate other supportive elements, starting with restoring face-to-face relations that can open the door to deeper exchanges.

China’s public perception challenge is particularly acute in South Korea. The percentage of South Koreans holding a negative view of China has reached a record 80 per cent, according to the latest Pew survey.

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Several factors play into this. US involvement and the security situation on the Korean peninsula have long complicated ties between Seoul and Beijing. Public views of China have soured since the dispute over THAAD began in 2016 and have dipped further during the COVID-19 pandemic.

Cultural exchange has been a key channel for building relations between the two countries, but the pandemic disrupted these flows. At the peak in 2017, there were more than 73,000 South Korean students studying in China. That number plunged from 47,000 in 2020 to nearly 27,000 in 2021.

Hopefully, these cultural flows will begin to recover now that foreign students are allowed to return to China. The next step would be to gradually resume Chinese outbound tourism, which constitutes another important cultural and economic link between China and South Korea, as well as other Asian countries.

Like South Korea, Singapore has deep economic ties with China but is also a close security partner of the US. However, in many ways, the situation in Singapore is more conducive to positive relations with China. Singaporeans had the most favourable views among 19 countries polled in the recent Pew survey, with 67 per cent seeing China in a positive light, compared to 51 per cent with favourable views of the US.

During our visit, Singapore's Deputy Prime Minister Lawrence Wong, who is expected to take over as the country's next leader, said he wanted Singapore to play a neutral role between China and the US. Compared to Japan or South Korea, where there is more anxiety over China, we found the business community in Singapore more unified in wanting closer ties with China.

Singaporeans, especially Mandarin speakers, tend to see China as an opportunity. This is partly because Singapore is more oriented towards services rather than manufacturing and is well positioned as a gateway between China and the world.

Singapore has been an important conduit for China to absorb knowledge from abroad. We visited Nanyang Technological University, which has trained tens of thousands of Chinese government officials since 1992. Enrolment in such programmes has declined in recent years amid China's modernisation, but Singapore has gained importance as a gateway for Chinese companies venturing into regional or even global markets.

Its open environment has also seen the city state become a hub for global gatherings such as the Shangri-La Dialogue and the Bloomberg New Economy Forum. There is scope for Chinese think tanks to increase engagement with Singaporean counterparts and use the country as a platform to communicate with people across Asia and the rest of the world.

Like many Asian countries, Singapore and South Korea became independent nations during the Cold War and faced intense pressure to side with external great powers. Not being dominated by great powers was part of what prompted Singapore and four other founding members to create ASEAN in 1967, seeking a "third way" based on regional consensus and cooperation.

That is a hope that still resonates among significant constituencies in Asian countries. It is in China's interests to support this pursuit of a third way by increasing face-to-face interactions and strengthening human relations with its neighbours rather than relying on its economic muscle alone.

China and Latin America: Partners in a Shared New Era⁵

China and the countries of Latin America have common cause in pushing for openness, sustainability, reform, and a closer win-win relationship.

Across the Global South, nations are finding common cause in openness, sustainability, and reform. From deepening trade relationships with Brazil and Argentina, to a new and confident phase where the region as a whole is deepening its engagement with Beijing through green industry, digital transformation, and South-South connectivity.

Only months ago, foreign ministers and heads of state from across the hemisphere gathered in Beijing for the Fourth Ministerial Meeting of the China-CELAC Forum, to mark the forum's tenth anniversary. The President Xi Jinping's keynote address and the presence of leaders including President Lula da Silva of Brazil, President Gustavo Petro of Colombia, and President Gabriel Boric of Chile signaled a shared conviction: the China-Latin America relationship has matured from pragmatic cooperation into a long-term partnership.

The meeting produced the Beijing Declaration and a Joint Plan of Action (2025–2027) encompassing more than one hundred cooperation projects in clean energy, digital economy, agriculture, trade, infrastructure, and education. It also saw the unveiling of a RMB 66 billion (US \$9 billion) credit line for regional development visa-free travel for citizens of five nations—Brazil, Argentina, Peru, Chile, and Uruguay—starting June 2025. Initiatives that highlight a multidimensional partnership built on technology, sustainability, and people-to-people exchange.

I witnessed this new energy firsthand recently in São Paulo, where I joined Brazil's business community for the Brazil-China Business Council Conference last week. There the conversation revolved around investment in green mobility, digital infrastructure, and re-industrialization. From Bahia's BYD electric-vehicle complex, where the first locally assembled Dolphin Mini EV rolled off the line this year, to Iracemápolis's Great Wall Motors hybrid hub, examples of renewal abound. Just months earlier in May, I sat with the Foreign Minister of Peru, Elmer Schialer, over lunch as he passionately presented the Chancay Megaport—the Gateway to Latin America and a project expected to cut shipping times by roughly twelve days, positioning Latin America closer to Asia's supply chains. His enthusiasm captured a wider regional mood: a determination to connect, to trade, and to modernize on their own terms.

This is all part of a continental pattern of cooperation extending from the lithium triangle of Argentina, Bolivia, and Chile to Peru's ports and Mexico's high-tech corridors. Across Latin America, Chinese and local partners are investing in wind and solar energy, smart-farming technology, and AI-driven logistics. Huawei, Alibaba Cloud, and other digital firms are helping build the region's next-generation connectivity, while financial cooperation, including local-currency settlement and RMB clearing, is strengthening macro-stability.

⁵ First published on April 1, 2022 by *IPS Journal* and revised for this collection.

Taken together, these developments demonstrate how China-Latin American relations are evolving beyond the traditional “trade + infrastructure” paradigm into a comprehensive partnership for sustainable modernization. Both sides understand that in today’s volatile world, growth must rest on openness, resilience, and shared responsibility.

The latest joint plan’s reference to a “partnership of civilizations” captures the deeper purpose: to build connectivity not only of goods and capital but also of ideas, culture, and governance. It embodies a spirit and promotes a cooperation that is inclusive rather than exclusive, regional rather than bilateral, and strategic rather than transactional. Through more than 3500 scholarships, 10,000 training opportunities, and 300 political-party exchanges promised under the plan, a new generation of leaders and professionals will gain firsthand understanding on both sides of the Pacific.

Latin America’s growing partnership with China also reflects a maturing confidence within the Global South. China itself has announced that it will no longer seek new “Special and Differential Treatment” benefits in future WTO negotiations, a decision meant to stand on principle in a way that demonstrates both economic strength and a commitment to fairer global rules while maintaining its developing-country status and solidarity with other emerging economies. And it’s a sentiment shared with Latin America, where nations seek a voice commensurate with their potential in shaping international institutions.

By aligning green growth with digital innovation, and open markets with social inclusion, our cooperation can become a template for inclusive modernization. In a time when fragmentation and protectionism threaten global progress, the China-Latin America partnership offers a different story: one of connectivity, mutual respect, and shared prosperity.

To turn this shared vision into practical outcomes, I believe six areas deserve immediate focus:

First, Infrastructure and Connectivity, by continuing to expand collaboration through ports, like the Chancay Megaport, to a new flagship modern rail corridor linking São Paulo and Rio de Janeiro, as well as more highways, and power grids Latin American economies will not only benefit but shorten supply chains to Asia.

Second, Financial Innovation. By broadening the use of local-currency settlements, transaction costs and dependency on any single currency can be reduced. RMB-clearing banks in São Paulo, Buenos Aires, and Santiago would strengthen financial stability.

Thirdly, the Green Transition. Joint ventures in renewable energy, electric mobility, and green hydrogen are already on the rise. With deeper integration, Latin America would become a world leader in sustainable industrialization.

Fourth, Digital Economy and AI. Partnerships in 5G, cloud computing, and robotics—from agritech to fintech—can ensure the benefits of innovation reach all sectors.

Finally, Think-Tank and Academic Dialogue. Institutions such as CCG, CEBRI, and CEBC can build a permanent China-Latin America Forum on Sustainable Development, producing policy ideas grounded in research and mutual understanding.

Fifty years ago, the relationship between China and Latin America began with simple trade—soybeans, copper, and friendship delegations. Today it encompasses electric vehicles, AI research, and joint development finance. As President Milei's visit approaches and the new China-CELAC projects begin to take shape, both sides can look ahead to an era defined not by distance or ideology but by a shared commitment to innovation, sustainability, and mutual benefit.

The Pacific, once a divide, is becoming a bridge. If we can build upon the momentum of Brazil's green industry, Argentina's agricultural innovation, Peru's new connectivity, and Chile's energy transition, then the partnership between China and Latin America will stand as a model for the world—a partnership not of convenience, but of conviction.

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